

Q1 2025

Custom Managed Portfolios

Lazard International Equity

Quick facts

Asset class:

International Large cap

Management style:

Relative Value ¹

Number of holdings:

70

Sub-advisor:

Lazard Asset Management

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

July 01, 2013



What does the strategy invest in?

The Lazard International Equity strategy seeks to generate strong relative returns over a full market cycle by investing in companies with strong and/or improving financial productivity at attractive valuations. The strategy typically invests in non-US companies, including those from emerging markets, with a market capitalization generally of \$3 billion or greater..

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	4.6%	4.6%	7.7%	9.8%	10.4%	5.9%	6.4%
Benchmark ⁵	7.1%	7.1%	12.1%	11.7%	12.5%	7.1%	7.5%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	12.4%	16.0%	-12.6%	4.8%	9.2%	14.0%	-7.2%
Benchmark ⁵	13.8%	15.7%	-7.8%	10.8%	5.4%	16.5%	-5.6%
Standard deviation	8.6%	Sortino ratio		0.89	Downside capture		107.2%
Sharpe ratio	0.55	Beta (Equity)		0.91	Upside capture		96.5%

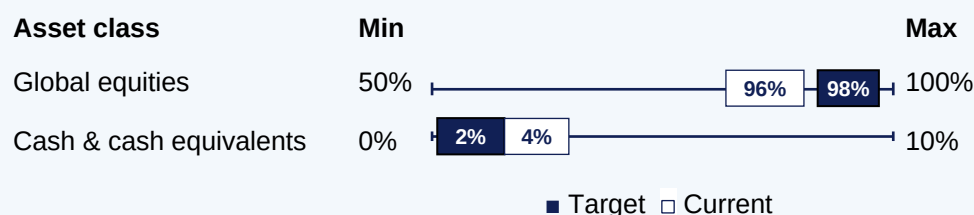
Largest holdings

1.	RELX PLC SPONSORED ADR	3.6%	6.	AIR LIQUIDE ADR	2.6%
2.	UNILEVER PLC S/ADR NEW	3.3%	7.	COMPASS GROUP PLC ADR SPONS	2.6%
3.	AON PLC CLASS A	2.9%	8.	SIEMENS AG S/ADR	2.3%
4.	ASML HOLDING NV	2.8%	9.	NOVO NORDISK AS S/ADR	2.3%
5.	MIZHUO FINCL GRP INC S/ADR	2.7%	10.	ABB LTD S/ADR	2.2%

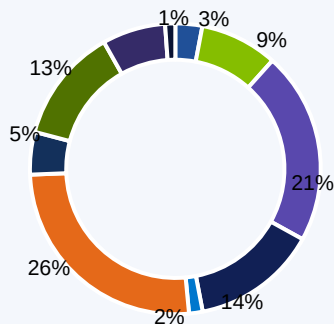
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
2.1%	21.43	15.48	3.14	3.15	86.30B	79.4%

Target allocations

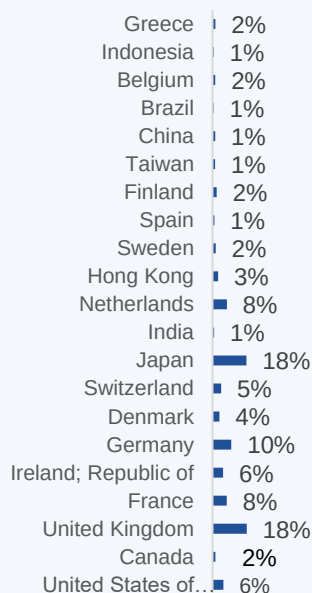


Sector breakdown



- Communication Services
- Materials
- Financials
- Information Technology
- Energy
- Industrials
- Consumer Staples
- Consumer Discretionary
- Health Care
- Real Estate

Geographic allocation



Quarterly commentary

Market Overview

Led by European corporate fundamentals, increasing optimism around fiscal stimulus, and strengthening currencies, International equities staged the largest quarterly outperformance of the US in over two decades. Valuations have been very inexpensive for International equities for several years. International equities experienced two large changes this year that could change that discount. The first had nothing to do with the current geopolitical drama unfolding. DeepSeek, a Chinese artificial intelligence (AI) company burst onto the scene in January suggesting it could offer open-source, high performance AI models at a fraction of the cost of traditional AI giants. This new entrant to the AI race is causing competitors to pause and re-evaluate how much they spend on training AI models and investors to rethink the valuations they are willing to pay for AI-related companies. While the concentration of the US market remains significantly tilted to many of these AI-related companies whose stretched valuations are dependent on continued significant investment spend, this new entrant has called some of that into question. As a result, global investors began to shift money from the very expensive US market to much less expensive International markets.

Soon after the DeepSeek competitive revaluation, economic forecasts began to predict that the global GDP could be negatively affected, and longer-term inflationary outlook could be exacerbated by the administration tariffs. The tectonic shift in geopolitics continued as the US appeared to step back from its role of providing defense support for European allies. At the same time, Friedrich Merz, winner of the German election, has pledged to focus on European cooperation. His spending and investment plan for Germany stands in stark contrast to the historic fiscal conservatism of German governments. The relatively low level of German public debt has enabled Merz to pivot and potentially provide much-needed fiscal stimulus to Europe's largest economy. Coupling the potential for a multi-year increase in fiscal stimulus in Germany, targeted at transport, communication, digital and power infrastructure, with a significantly higher level of targeted defense spending across Europe, some investors hope this is the fiscal unification moment that Europe has needed. Geopolitical volatility and the shift in relative growth rates between the US and Europe has also moved bond markets and raised expectations for higher future rates.

Relatively higher bond yields (the discount rate for equities), coupled with lower expectations for growth in traditional Growth sectors such as technology and consumer discretionary, have driven a significant move toward Value (where the investment horizon is usually shorter) and away from Quality (where the investment horizon is usually longer). Within financials, the banking industry continued its extraordinary run of performance leading the EAFE Index by 11% during the quarter and 31% over the past year.

Other traditional Value sectors such as energy and utilities also outperformed during the first quarter.

In this shifting environment of higher rates and slower growth expectations, Quality companies lagged Value by a wide margin. While the fundamental earnings power of certain quality companies we own continues to rise more than the market, the derating of the valuation has been significant. Over the past six months, international quality investors have seen two of the worst five quarters for Quality since 1998.

Outlook

Tariffs and defense spending were major points of discussion in the first quarter. Company managements attempted to determine what tariffs mean for their businesses. From sales demand, to pricing, to margins – this new policy affects many facets of investment planning and decision making. In the near term, the likely outcome will be management teams remain cautious and wait to see how the situation sorts out. In the meantime, that may mean sales and profits could be negatively impacted. We have been speaking with all of our companies trying to learn how these new policies will impact their businesses.

One likely outcome of these new policies is slower growth and rising inflation. In this environment, initially investors reached for precious metals as a real asset store of value, and we have seen gold and silver rally substantially in the first quarter. Banks also rallied significantly as they are also viewed as a beneficiary as interest rates rise, increasing their net interest margins and investors believe loan demand will remain robust as businesses seek to capitalize on the inflationary environment.

What happens from here? We believe that companies with stronger pricing power will more likely be able to pass along higher costs to their customers without seeing demand deteriorate and will likely have a higher probability of maintaining their margins.

Companies with the widest moats, the highest financial productivity and the opportunity to reinvest for growth should resume leadership. During the past six months, Quality businesses derated and underperformed by more than 5%. In the past quarter century, every time quality underperformed by that magnitude or more, it outperformed in the subsequent period. We believe companies that can organically grow earnings while maintaining margins and profitability will be leaders going forward and therefore, we expect history to repeat. Since the Global Financial Crisis, the global equity market returns have been led by the US. Initially that had much to do with how quickly US companies recovered from the GFC, but more recently the outperformance of US equities has been largely attributable to three key factors: Dollar strength, the concentration and outsized impact of the Magnificent 7, and these two factors combined to help drive the valuation of the US market to extraordinary levels.

Currently, we believe all three of these factors are reversing or diminishing and we think International Equities can continue to outperform. The strength experienced by the US dollar after the November election has all but reversed. Tariff implementation and new plans for potential EU fiscal stimulus have combined to strengthen International currencies. While the significant concentration of the US market has not diminished, the impact of the Magnificent 7 on earnings for the US market has.

Rapidly increasing European defense budgets coupled with the potential for significant German fiscal stimulus could act as an accelerant on the positive change in relative earnings growth rates for Europe compared to the US.

Investment manager overview



Since 1848, Lazard has remained a trusted advisor to governments, financial institutions, public and private retirement plans, and individuals around the world.

Lazard Asset Management is the principal asset management subsidiary of Lazard Ltd., and today represents approximately half of the firm's revenue. With more than 300 investment personnel in 18 cities across 13 countries, Lazard Asset Management offers investors an array of traditional and alternative investment solutions. We believe our global reach, unique identity, diverse product platform, and strong client relationships will allow us to maintain our preeminent position in the marketplace.

Investment philosophy

Lazard's investment philosophy is based on value creation through the process of bottom-up stock selection. Our relative value philosophy is implemented by assessing the relationship between valuation and financial productivity for an individual security. We believe that financial productivity (the return a company generates) measures how effectively a company is putting its shareholders' capital to work – and ultimately this drives valuation. Assessing a company's financial productivity is an important part of our research process, as it is critical to assessing a company's value.

We believe that the best companies often sustain higher levels of financial productivity for longer than the market expects, leading to valuation opportunities and market inefficiencies. We also believe that opportunities exist among companies to improve returns, but less often than investors.

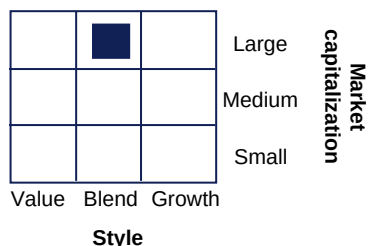
Investment process and risk controls

After the initial research process, stocks are selected by the portfolio management team from the wide range of ideas generated by Lazard's global equity investment professionals. For a stock to be purchased in the strategy, an investment thesis is prepared which typically covers a wide range of factors, such as: business analysis, including direction and sustainability of returns; financial modeling, including accounting validation and detailed valuation work; research edge, and what factors will make the market correct its valuation of the stock; and finally, key investment risks.

This thesis is formally documented but more importantly, it is tested rigorously through discussions with the portfolio management team. The team is usually involved in company meetings and often requires further information and analysis before reaching a conclusion. The portfolio management team and analysts work closely together to build conviction on investment ideas, creating a team culture that helps to optimize decision making.

Lazard uses a three-tiered approach to risk management, which begins during the research process. In addition to accounting validation, the portfolio management team considers corporate governance, the overall macroeconomic environment, as well as political factors that could impact each company considered for purchase

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Relative Value – Investing style that focuses on relative company to competitor value, in addition to absolute and intrinsic value

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is MSCI EAFE NR Index (CAD)

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